

Justification for Other Than Full and Open Competition, Extension

U.S. General Services Administration

GSA Region 8 Leasing

JUSTIFICATION FOR OTHER THAN FULL AND OPEN COMPETITION

PROJECT NUMBER: 4CO0555

Agency Name: Armed Forces Recruiting

1. NATURE AND/OR DESCRIPTION OF ACTION BEING APPROVED.

The General Services Administration currently leases 23,691 ABOA/27,482 rentable square feet (RSF) of office space at 621 17th Street, Denver, CO 80202 under lease number LCO14774 for the Armed Forces Recruiting. The current lease expires October 31, 2025. Approval is requested to negotiate a 34-month Non-firm lease extension with a 120-day termination notice with the incumbent Lessor without full and open competition for continued occupancy at this leased location. [REDACTED]

[REDACTED] The procedures for pursuing a lease extension are detailed in GSAR 570.405: Lease extensions.

2. DESCRIPTION OF THE SUPPLIES OR SERVICES REQUIRED TO MEET THE AGENCY'S NEEDS (INCLUDING ESTIMATED VALUE).

The government requires a 34-month non-firm term extension of the current lease, commencing on March 1, 2025. [REDACTED]

[REDACTED] This is in addition to [REDACTED] per RSF for shell, operating costs and 30 parking spaces, resulting in a total first-year rate of [REDACTED] per RSF.

For the subsequent 22 months, the fully serviced rate will be [REDACTED] per RSF, which aligns more closely with the Denver market. The blended rate across these terms is [REDACTED] per RSF. Additionally, the cost for 30 structured parking spaces is included in the overall rate.

The estimated cost of this 34-month non-firm term lease extension is [REDACTED] per RSF for the first year for an annual cost of [REDACTED] and [REDACTED] per RSF for 22 months for an annual cost of \$ [REDACTED] and a total contract value of [REDACTED]

3. IDENTIFICATION OF STATUTORY AUTHORITY PERMITTING OTHER THAN FULL AND OPEN COMPETITION.

41 U.S.C. 3304(a)(1): Only one responsible source and no other supplies or services will satisfy agency requirements. This statutory authority is implemented through GSAR 570.405. In accordance with GSAR 570.405, use of the sole source authority is appropriate when the government experiences a delay in acquiring replacement space.

- ☒ The agency occupying the leased space is scheduled to move into Federally controlled space, but encounters unexpected delays in preparing the new space for occupancy.
- ☐ The government encounters unexpected delays outside of its control in acquiring replacement space.

- ☐ The government is consolidating various agencies, and the contracting officer needs to extend the terms of some leases to establish a common expiration date.
- ☐ The agency occupying the space has encountered delays in planning for a potential relocation to other federally controlled space due to documented organizational, financial, or other uncertainties.

4. DEMONSTRATION THAT THE PROPOSED CONTRACTOR'S UNIQUE QUALIFICATIONS OR NATURE OF THE ACQUISITION REQUIRES THE USE OF THE AUTHORITY CITED.

It is in the best interest of the Government to remain at the current location during the extension period. AFR needs more time to buildout and move to building 25 at the Denver Federal Center. Award to other than the current Lessor would require relocation of the entire requirement and would cause Armed Forces Recruiting to incur move and replication costs that would not be recovered through competition.

5. DESCRIPTION OF EFFORTS MADE TO ENSURE THAT OFFERS ARE SOLICITED FROM AS MANY POTENTIAL SOURCES AS IS PRACTICABLE.

In accordance with GSAM 570.106(d) and 570.405, an advertisement is not required for extensions.

6. DEMONSTRATION BY THE CONTRACTING OFFICER THAT THE ANTICIPATED COST TO THE GOVERNMENT WILL BE FAIR AND REASONABLE.

Recent market research conducted by the Lease Contracting Officer in Denver, CO showed the rental rate within the market area ranges from \$39.13 to \$26.52.

The lessor initially declined to extend the lease due to plans to convert the space into multi-unit housing. However, after further discussions, an agreement was reached to extend the lease under the condition that the government covers the cost of demoing their tenant improvements and returning the space to a white-box condition.

The initial cost proposal to return the space to white box condition was [REDACTED] but through negotiations, this amount was reduced to [REDACTED]. A Fair and Reasonable determination was provided on February 7, 2025. This agreed-upon cost was incorporated into the first year's rent.

Therefore, anticipated rental rates for the lease extension are [REDACTED] per RSF for the first year and [REDACTED] per RSF annually for the following 22 months. A Cost-Benefit Analysis indicates cost savings of [REDACTED] by accepting these terms and remaining in the current location, avoiding relocation and replication costs. Consequently, the full-service rate, including demolition costs, falls within the current market range for this submarket and has been deemed fair and reasonable by the GSA Lease Contracting Officer.

7. DESCRIPTION OF MARKET RESEARCH CONDUCTED AND THE RESULTS.

On 3/29/2024 market research was conducted using Bullseye Report and CoStar. The market research showed the rental rate within the market area ranges from \$39.13 to \$26.52.

8. OTHER FACTS SUPPORTING USE OF OTHER THAN FULL AND OPEN COMPETITION.

Remaining at the current location under a 34-month extension avoids a holdover or having to relocate and allows the Government to continue operations without disruption.

9. LIST OF SOURCES, IF ANY, THAT EXPRESSED, IN WRITING, AN INTEREST IN THE ACQUISITION.

N/A

10. STATEMENT OF ACTIONS, IF ANY, THE AGENCY MAY TAKE TO REMOVE OR OVERCOME ANY BARRIERS TO COMPETITION BEFORE ANY SUBSEQUENT ACQUISITION.

There will be no competition for a subsequent action as the tenant is relocating to Federal space.

11. CONTRACTING OFFICER CERTIFICATION.

By signature on this Justification for Other than Full and Open Competition, the GSA Lease Contracting Officer certifies that the award of an extension of 27,482 RSF/ 23,691 ABOA is in the Government's best interest and that this Justification is accurate and complete to the best of the GSA Lease Contracting Officer's knowledge and belief.

Mark Pearce, Lease Contracting Officer

Date _____

12. PREPARER'S TECHNICAL CERTIFICATION

I certify that the supporting data used to form the basis of this Justification is complete and accurate to the best of my knowledge and belief.

[REDACTED]

Date _____

13. LEGALLY SUFFICIENT

[REDACTED]

Date _____

14. CONCURRENCE

[REDACTED]

Date _____

15. APPROVAL

[REDACTED]

Date _____

